

M/I Homes (NYSE: MHO)

Initiation of coverage — Underweight, \$150 price target

2026-09-05

Rating	Target	Price	Return	Mkt cap	Bull / bear
Underweight	\$150	\$148.26	+1%	\$3.7bn	172 / 90

I just moved to North Carolina for my graduate education. I'm not alone: in the year to July 2025 North Carolina gained a net 84,000 residents from other states, more than any other state. Given my previous work in housing, I was curious whether this presented an opportunity for homebuilders, and investors, to capitalize on new demand. I identified M/I Homes as a mid-cap builder with a large enough presence in the region for the influx of new arrivals to move the needle.

The call

I am initiating on M/I Homes at **Underweight** — on a scale of Overweight / Neutral / Underweight — with a **\$150 price target**, about 1% above the current price and well below the street. This is a well-run company — net cash, retiring roughly 5% of its shares a year, and at 1.16× book not obviously expensive. The problem is what it now earns on that book. Return on equity has fallen from 19.2% in 2024 to 9.4% on trailing numbers, and a builder's book multiple is close to a restatement of its return on book. At an 11.8% cost of equity, today's multiple already pays for a normalized return of about 13.2%. My base case reaches 11.1% by 2029, and only by assuming a competitive recovery I cannot verify.

The rating follows from the distribution, not from the target alone. A +1% expected return against an 11.8% cost of equity is roughly 11 points of negative alpha: you are not paid for the risk of holding it. And the risk is one-sided. My bull case is +16% and my bear case -39%, and the bull needs two independent things to go right at once — rates falling and Sunbelt supply clearing — where the bear needs only one thing to keep happening.

The more interesting finding is underneath the rating, and it's the opposite of what I expected. In 2025 the Southern segment, Raleigh and Charlotte alongside Florida and Texas, saw its operating margin fall from 18.1% to 10.4%. The Northern segment, the Midwest business the market treats as a legacy drag, held at 14.7%. The growth region stopped carrying the profit and loss.

Demand is real. Margin is the problem.

That net inflow is real, but it is slowing. 2025 was about 81% of the 2020–21 peak, and more importantly, arrivals are not clearing at the price builders want. House price indices for Raleigh and Charlotte rose just

0.4% and 1.1% over the three quarters to Q2 2026: flat in nominal terms, down in real terms, in the state everyone is moving to.

This was not a rate shock. The 30-year fixed mortgage averaged 6.80% in 2024 and 6.72% in 2025, eight basis points apart. Southern cost per home barely moved. Essentially the whole margin decline was price handed back at the closing table.

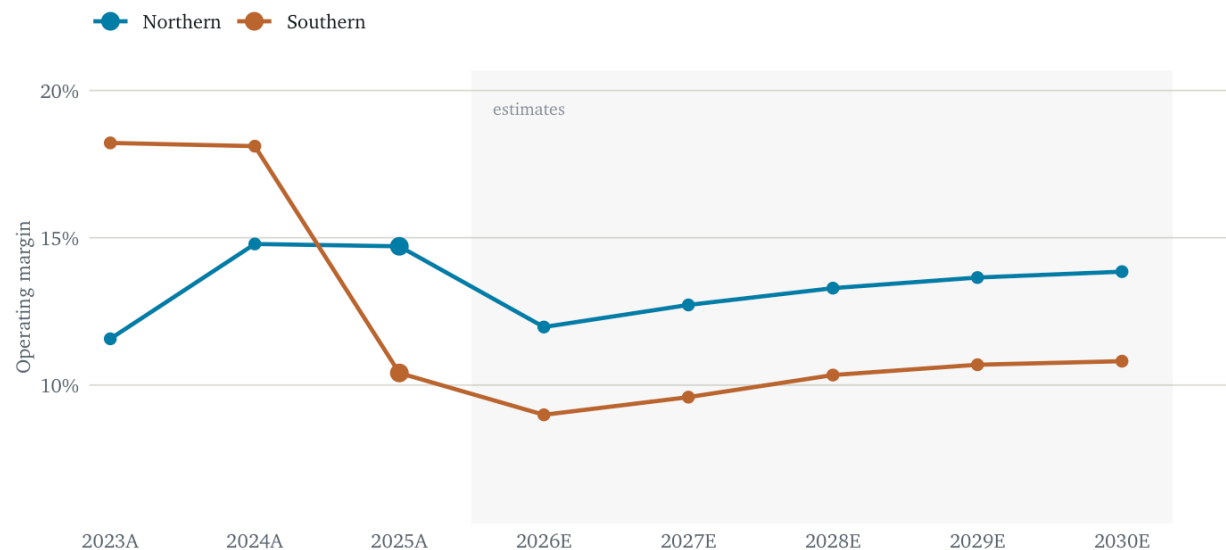


Figure 1: Segment operating margin. Northern has been flat for two years; Southern lost nearly 800bp in one. My base case does not restore Southern to its 2024 level within the forecast. Source: FY2025 10-K segment note; estimates my own.

Splitting the Southern segment into price and cost settles the question. Cost per home, adjusted for the \$41m of Southern inventory write-offs taken in 2025, went from \$361k to \$362k over two years. Average selling price fell more than \$27k. There is no cost story here.

Table 2: Unit economics by region, \$ thousands per home delivered, excluding write-offs

Region	Metric	2023A	2024A	2025A	2026E	2027E	2028E
Southern	Net average selling price	488.7	480.2	461.5	443.4	452.6	465.4
	Cost per home	361.2	352.3	362.0	360.9	368.1	376.6
	Gross profit per home	127.5	127.9	99.5	82.5	84.5	88.8
	Gross margin	26.1%	26.6%	21.6%	18.6%	18.7%	19.1%
Northern	Net average selling price	480.9	490.6	508.7	501.9	515.4	529.6
	Cost per home	387.8	382.2	395.2	395.2	403.9	413.6
	Gross profit per home	93.1	108.4	113.5	106.7	111.4	116.0
	Gross margin	19.4%	22.1%	22.3%	21.3%	21.6%	21.9%

This was an important lesson for me, because I came into this project with the assumptions of the Portland, OR housing market in place. But the Southeast generally has much laxer zoning and permitting codes than the West Coast, which allows the market to quickly respond to the influx of demand with more construction, apparently even to the point of oversaturation. From a policy perspective it's a success story, but unfortunately MHO was not positioned to profit from that success.

How I built the forecast

Revenue is built region by region, deliveries times average selling price for Northern and Southern separately, rather than off a blended growth rate, because I'm interested in regional trends. Gross margin is what is left after an incentive load reduces the realized price and a separately-driven cost per home is subtracted.

Incentive load is a base rate, plus a slope against the mortgage rate above a 5.5% neutral level, plus an explicit competition premium. That third term is necessary because rates were flat between 2024 and 2025 while the Southern margin collapsed, so a rate-only model cannot reproduce what actually happened.

The 2026 estimate is pinned to reported first-half results: 4,120 deliveries, \$5.57 of EPS, a \$459k average price. My full year of \$11.94 implies a second half about 8% ahead of the first, against an actual 6% step in 2025.

Table 3: 2027E diluted EPS: mortgage rate (rows) against Southern competition premium (columns)

	0.5pp	1.7pp	3.0pp	4.2pp	5.5pp
5.50%	17.48	16.64	15.75	14.88	13.97
6.00%	16.81	15.97	15.08	14.21	13.30
6.35%	16.34	15.50	14.61	13.75	12.83
6.75%	15.81	14.96	14.07	13.21	12.30
7.25%	15.14	14.29	13.40	12.54	11.63

Read that grid across, not down. Moving the mortgage rate over its whole range shifts 2027 EPS by about \$2.34. Moving the competition premium over its range shifts it by \$3.51. The competitive variable matters more than the Fed, which is the opposite of how this sector is usually discussed.

Whose numbers these are

M/I Homes publishes no quantitative guidance; no delivery, revenue, margin or EPS target appears in either the FY2025 or the Q2 2026 release. Every forecast here is mine. Only four analysts cover the stock, so consensus is thin, but it is the one external check available:

Table 4: My estimates against consensus

Metric	Mine	Consensus	Range
2026E revenue	\$4.15bn	\$4.20bn	—
2026E EPS	\$11.94	\$12.32	\$11.96–\$13.34
2027E EPS	\$14.06	\$15.41	\$14.24–\$16.49
Price target	\$150	\$170.67	—
Rating	Underweight	Buy	—

I sit below the street on both years and, by a wider margin, on the target. My 2026 number is marginally below the lowest published estimate, which follows directly from not assuming a second-half margin inflection.

I have not adjusted toward consensus. The estimates are what the model produces from assumptions I can defend line by line — incentive levels calibrated to the company's own disclosure, a competition premium

whose decay is deliberately slow, a cost of equity I would use for any mid-cap cyclical — and the rating is what those estimates imply. Four analysts cover this stock. Being alone is not evidence of being wrong, and moving the number toward the crowd because the crowd is there would make it worth less, not more.

i How much of the recovery is mine to defend. Of the \$2.12 of 2027 EPS growth over 2026, \$0.61 is extrapolation of reported trends: volume, price, cost and the buyback. \$0.40 is my mortgage-rate decline. And \$1.11, roughly half, is the Southern competition premium decaying. I think it's a fair assumption because the current situation is an anomaly, but there's still no way to verify it until it happens. That's why the sensitivity grid matters more than the point estimate.

Valuation

I ran a DCF and a comparables analysis separately, and they disagree. The DCF, at a 10.73% WACC and 2.5% terminal growth, gives \$110.14 today, below the market. The unadjusted peer median price-to-book of 1.40× gives about \$190.

The DCF is low because a builder's earnings recovery does not reach shareholders. My base case grows NOPAT from \$300m in 2026 to \$469m in 2030, but land and homes under construction absorb roughly \$200m a year over the same period. Growth, for a builder, consumes cash.

Table 5: The comparable set. Note that M/I Homes has the highest share price and the highest book value per share in the group — both artifacts of having 25m shares outstanding against D.R. Horton's 280m, not signs of a premium rating. It is the second-smallest company here by market capitalisation. Prices 4 September 2026; equity from each company's most recent 10-Q; trailing net income derived from market capitalisation and trailing P/E so every company sits on the same basis.

Company	Price	Mkt cap \$m	P/B	P/E	ROE
DHI — D.R. Horton	\$142.94	39,980	1.68×	13.60×	12.3%
LEN — Lennar	\$83.88	20,210	0.94×	13.12×	7.1%
PHM — PulteGroup	\$124.36	23,310	1.79×	12.68×	14.1%
TOL — Toll Brothers	\$141.43	13,030	1.53×	11.32×	13.5%
MTH — Meritage	\$67.75	4,420	0.87×	14.07×	6.2%
TPH — Tri Pointe	\$46.95	4,000	1.27×	22.24×	5.7%
MHO — M/I Homes	\$148.26	3,748	1.16×	12.41×	9.4%

The striking thing in that table is the dispersion. Earnings multiples sit in a narrow band — 11.32× to 14.07× excluding Tri Pointe, whose 22× reflects trough earnings rather than a rich valuation — while returns on equity run from 6.2% to 14.1%. **The market is paying similar earnings multiples for very different returns on capital.** Price-to-book equals price-to-earnings times return on equity by definition, so the book multiples in that table are mostly just those returns restated.

Two things follow. First, price-to-book and price-to-earnings are one view of this stock rather than two, so I count them once rather than dressing the same number up twice. Second, because the earnings multiple is nearly constant across the set, the book multiple is the one that actually separates these companies — which is why price-to-book is the conventional multiple for builders, and the one I use.

For the base case I apply the peer median price-to-book of 1.40× to my estimate of book value at the target date. The scenarios use a different estimator, and it is worth being upfront about that rather than letting one

label cover both. Holding the median across all three would say that a builder earning 6.2% on equity still trades at 1.40× book, which the comp set flatly contradicts — Meritage earns 6.2% and trades at 0.87×. So in the scenarios I use the multiple the market currently puts on the builder actually earning that return. The bear case has M/I Homes earning 6.2% on equity, close to Meritage's 6.2%, so it takes Meritage's 0.87× book. The bull case earns 13.3% — exactly Toll Brothers's return today — so it takes 1.53×. Every multiple in this note belongs to a company you can look up.

Running comparables on forward figures is conventional — a twelve-month price target has to be, or it simply reproduces today's price. But it is worth walking from the current share price to the \$190 one step at a time, because the two steps are not the same size and only one of them is about the business.

Table 6: From today's share price to the comparables value

Step	Effect	Per share
Today's share price		\$148
Book value grows from \$127.65 to \$135.54, multiple held at 1.16×	+\$9	\$157
Multiple re-rates from 1.16× to the peer median 1.40×	+\$32	\$190
Comparables value		\$190

So the growth in book value is worth about \$9 a share, and the assumption that M/I Homes stops trading at its own multiple and starts trading at the peer median is worth about \$32. **The second step is roughly three times the first**, which means the comparables leg is mostly a bet on the discount closing rather than on the company growing. Weighting the DCF at 60% is how I express that I am not especially confident in that bet.

Using book rather than earnings as the forward base is also the conservative choice here. My book estimate moves +6.2% from today, where 2027 earnings move +17.7%. For a cyclical whose earnings are near a trough, that is a much steadier base to multiply.

Table 7: Valuation summary — two independent views

Method	Value	vs price	Weight
Discounted cash flow	\$123	-17%	60%
Peer median P/B on Sep-2027E book	\$190	+28%	40%
Weighted price target	\$150	+1%	100%

The two methods disagree by about \$67 a share, and the disagreement is the interesting part. The DCF is grounded in what the business earns and what that leaves for shareholders once land has absorbed its share; the comparables are grounded in what the market currently pays other builders for a dollar of book, and say nothing about whether the cash ever arrives. I weight the first more heavily for that reason.

They are also genuinely independent, which matters more than it sounds. An earlier draft of this note valued the relative leg at MHO's own earnings multiple times my own EPS estimate — which reduces algebraically to today's share price scaled by my forecast earnings growth. That method cannot disagree with the market, so it is not a valuation at all. Taking the multiple from other companies is what makes it one.

The weighting is a judgment, and the target is more sensitive to it than I would like. At an even split it is about \$156; weighting the comparables two-to-one over the DCF reaches roughly \$168.

It is worth naming what would overturn this. Weighting the comparables at 100% gives \$190, which is a Buy — so an analyst who trusts peer multiples and distrusts my cash-flow forecast reaches the opposite conclusion from the same spreadsheet. That is where the street's \$170.67 and its Buy rating most likely come from. My objection to that route is the bridge above: the comparables value is three-quarters a bet that M/I Homes re-rates to the peer multiple, and I see no reason a builder earning 10.8% on equity should be priced like ones earning 12 to 14 per cent.

I am about 4% below consensus on 2027 earnings and land at \$150 against the street's \$170.67, so the target is consistent with the estimates rather than sitting on top of them.

The bear case

The bear case is not a recession. It is that the competition premium is structural rather than cyclical — that even the slow decay in my base case is too generous, and the discounting simply persists.

Affordability in Raleigh and Charlotte is now binding, so the marginal buyer can only be reached by moving down in price and specification. Every builder in those markets faces the same arithmetic and reaches the same conclusion at the same time. MHO controls 30,863 lots in the Southern region, 18,124 of them owned outright. Land bought for a \$500k product and sold into a \$440k market does not earn a 20% margin, and the \$41m of Southern write-offs in 2025 may be the first installment rather than the last.

The rate backdrop does not help: the 30-year mortgage sits at 6.71% and the 30-year Treasury at 5.27%. The long end has been rising. If rates hold near 7% and Southern incentives ratchet higher, return on equity settles near 6.2%. The bull case rests on Sunbelt spec inventory clearing faster than I assume, and gets return on equity to 13.3%. I value both the same two ways as the base case, so the numbers are comparable rather than a separate judgement call.

Table 8: Scenarios, valued the same two ways as the base case

Scenario	2027E EPS	2028E ROE	P/B used	Value	vs price	Multiple taken from
Bull	\$16.82	13.3%	1.53×	\$172	+16%	Toll Brothers, which earns 13.5%
Base	\$14.06	10.8%	1.40×	\$150	+1%	the peer median
Bear	\$8.82	6.2%	0.87×	\$90	-39%	Meritage, which earns 6.2%

What I find reassuring about this is that neither end of the range is an extrapolation into empty space. Each scenario maps onto a builder that exists today. The bear case has MHO earning 6.2% on equity, which is almost exactly what Meritage earns now, and Meritage trades at 0.87× book. The bull case has it earning 13.3%, which is Toll Brothers' current return, and Toll trades at 1.53× book. The base case sits close to D.R. Horton. So the question is not whether these multiples are achievable in the abstract; it is which of three real companies M/I Homes comes to resemble. That is a more concrete question than a range of price targets usually implies, and it is why I am comfortable with the spread being wide.

The skew is clearly unfavorable, roughly +16% against -39%, and the bull case needs two independent things to go right at once: rates falling and Sunbelt supply clearing. The bear case needs only one thing to keep happening. That asymmetry, more than the target itself, is what makes this an Underweight.

What would change my mind, constructively: two consecutive quarters of Southern gross margin expansion with average selling price stable or rising. Negatively: further write-offs in the Southern land bank, or Southern average selling price falling below \$440k.

Sources and limitations

Claude Code assisted me with gathering data and writing code. Financial statements were copied from the FY2025 Form 10-K (filed 13 February 2026); segment revenue, cost and operating income come from its Note 12. Operating detail by region comes from the Q4 earnings releases for 2023, 2024 and 2025 and the Q2 2026 release. Consolidated figures were checked against SEC XBRL company facts and match to the dollar. Rates and house price indices are from FRED; prices and trailing multiples from stockanalysis.com on 4 September 2026. All forecasts are mine.

Two limitations are worth stating. MHO reports only two geographic segments, so Raleigh and Charlotte cannot be separated from Florida and Texas in public filings. “Southern” is the closest available proxy for the North Carolina question. And the financial services segment, about 13% of segment operating income, is valued inside the consolidated DCF rather than separately, which is a simplification rather than a strictly correct treatment.

Rating scale. Overweight, Neutral and Underweight are defined against the cost of equity used in this note, 11.8%, over a twelve-month horizon: Overweight for an expected total return comfortably above it, Neutral for a return around it, Underweight for a return below it. Underweight is a claim about risk-adjusted return relative to that hurdle, not a forecast that the shares fall — the price target here sits +1% above the current price.

Prepared as a personal analytical exercise, not investment advice. No position held.